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M&A

Early-stage M&A powers VC exits as unicorns plump up

By [Michael Bodley](#)

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US startup exits totaled \$67.7 billion across 394 deals in Q2, up from 330 transactions for a cumulative \$52.4 billion in Q1, according to the latest [PitchBook-NVCA Venture Monitor](#).

While [IPOs are picking up some steam](#), investors say M&A is the main driver as tariff uncertainty keeps clouding public listings. Through the first half of this year, [acquisitions made up](#) a 35.3% share of total US exit deal count, landing 31% of overall exit deal value.

And despite [big-ticket outliers](#), like [Alphabet's record \\$32 billion deal to purchase Wiz](#) and [OpenAI's \\$6.5 billion acquisition of Jony Ive's startup](#), the bulk have been of nascent and fast-growing startups.

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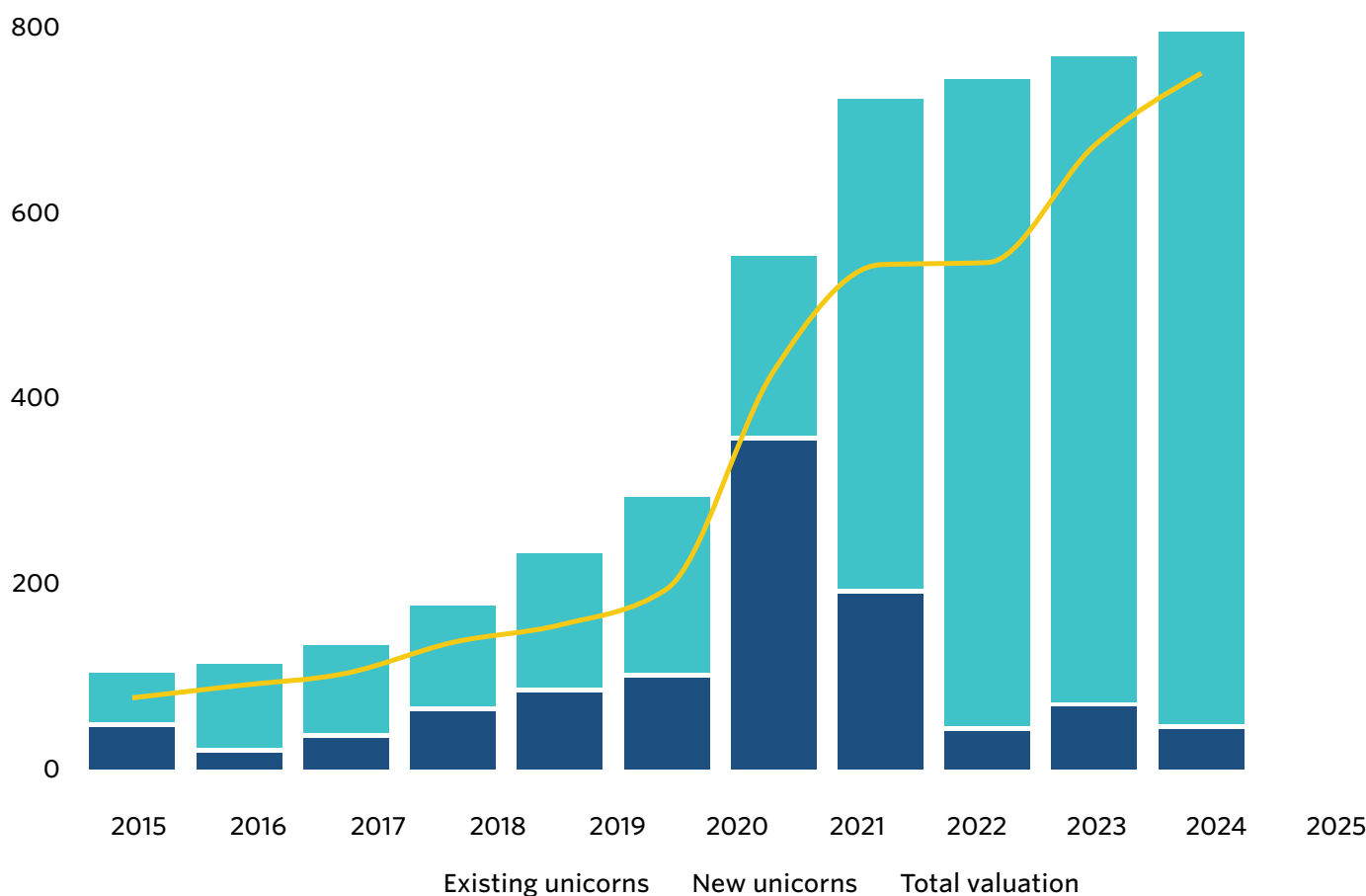
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Unicorns are still commanding high valuations, making later-stage M&A pricier and [slowing down those deals](#). There are now [a record 841 unicorns](#) in the US, with 46 new entrants in the first half of this year.

Pricey unicorns slowing late-stage M&A

US unicorn count and aggregate post-valuation

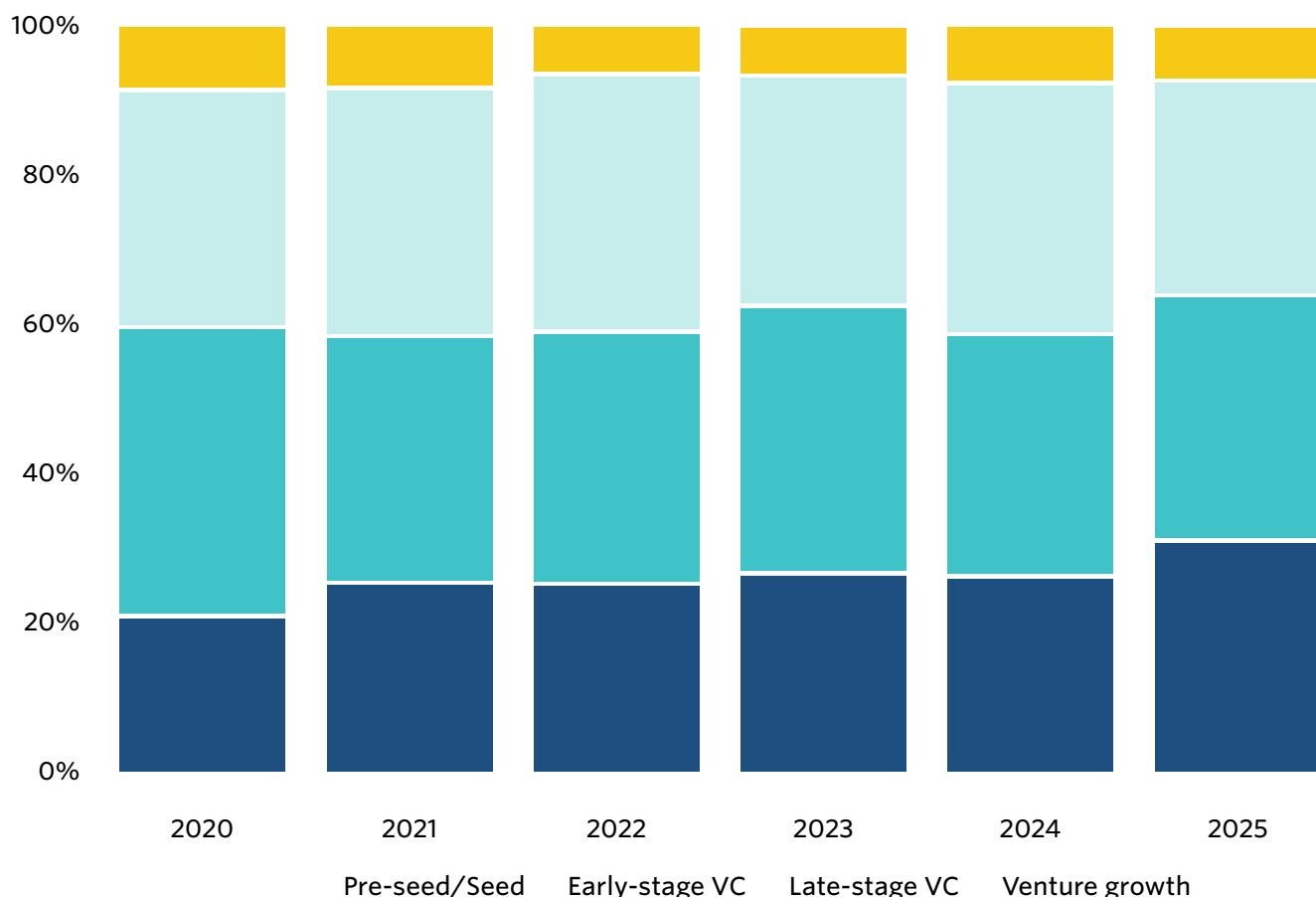


Source: [Q2 2025 PitchBook-NVCA Venture Monitor](#) • Geography: US • As of June 30, 2025

Acquisitions of pre-seed, seed and early-stage startups in H1 accounted for a combined 63.7% of all acquisitions. And the trend is expected to stick around, according to data from the report.

Investors are bulking up on early-stage acquisitions

US VC round count by stage preceding acquisition



Source: [Q2 2025 PitchBook-NVCA Venture Monitor](#) • Geography: US • As of June 30, 2025

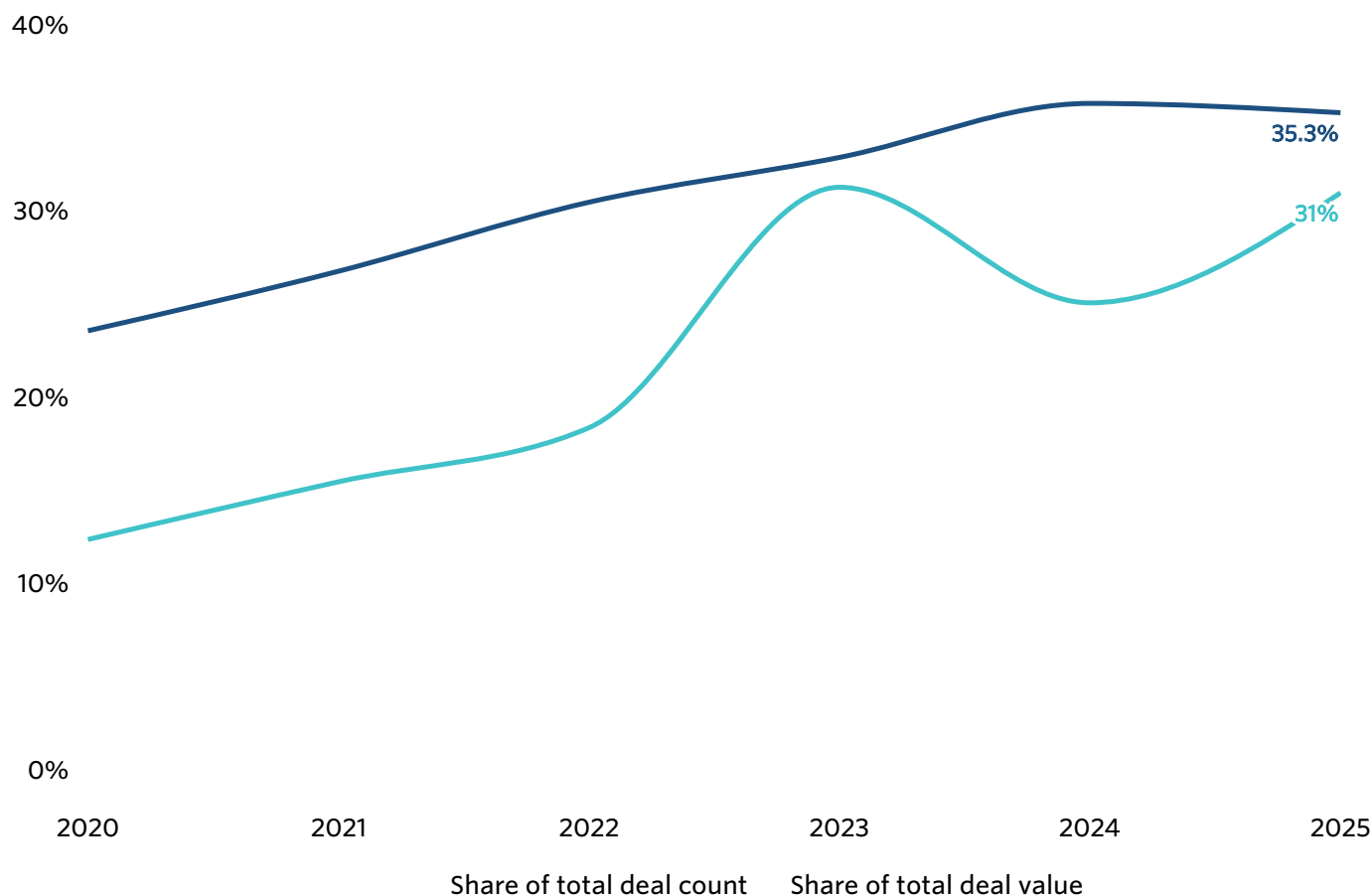
Privately held heavyweights are likely to keep strategically purchasing early-stage startups, according to New Form Capital investment partner Matt Cooper. Smaller acquisitions don't face [as much M&A scrutiny](#), as large deals for unicorns, he said, adding that the FTC under President Donald Trump "hasn't necessarily shaken things up as much as venture initially hoped."

[Investors had been hopeful](#) that new FTC Chair Andrew Ferguson would take a lighter touch on enforcing antitrust, [compared to former FTC head Lina Khan](#), who sued [Alphabet](#), [Amazon](#) and [Meta](#) on alleged monopoly grounds.

Meanwhile, 2025 has already seen a couple of new [AI "acqui-hire" deals](#) by big tech companies for eye-popping sums, in part to eschew regulatory scrutiny.

Acquisitions continue to drive exits

Acquisition share of total US VC-backed exits



Source: [Q2 2025 PitchBook-NVCA Venture Monitor](#) • Geography: US • As of June 30, 2025

Still, [IPOs at lower valuations](#) than a company's last private pricing continue, alongside a [similar trend in venture financings](#), according to Emily Zheng, a senior VC analyst at Pitchbook.

"The reality is that valuations from the pandemic era, for a lot of companies, are not accurate anymore to their business fundamentals," Zheng said.

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About [Michael Bodley](#)

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com's crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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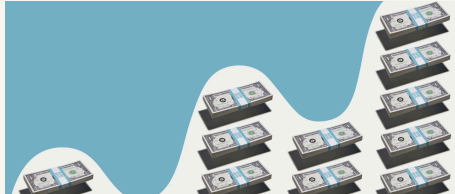


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